

driving cousin calls you and asks about investing in oil because it's \$150 a barrel, it's time to get out and stay out. Dumb money—EVERYONE—always shows up at the end of a boom. Who is dumb money? Consumers! Money chasers! But some shrewd people have mastered the Rule of Everyone. Instead of getting out, they short the other side and profit from the downfall. With every busted boom, new millionaires and billionaires are created because they saw the impending collapse inevitable in every meteoric irrational ascension.

While the stock market imploded in early 2009, who was buying and who was selling? Everyone was selling. I was long gone and sold a year earlier. Warren Buffet was buying. Everyone sells and the richest man in the world buys. Hmmm. Could it be that everyone is wrong? Yes it could.

If you want to live unlike everyone, you can't be like everyone. Don't confuse that with exceptionality. You have to lead the pack and have "everyone" follow. When the lambs are lining up single-file for slaughter, you want to own the slaughterhouse.

CHAPTER SUMMARY: FASTLANE DISTINCTIONS

- The Commandment of Entry states that as entry barriers fall, competition rises and the road weakens.
- Easy access roads carry more traffic. More traffic generates higher competition, and higher competition creates lower margins for the participants.
- Businesses with weak entry often lack control and operate in saturated marketplaces.
- Exceptionalism is required to overcome weak entry barriers.
- Access to a business road should be a process with a toll, not an event.
- "Everyone" consists of the general populous and is served by the mainstream media.
- If everyone were wealthy, "everybody is doing it" would work. And if everyone is wealthy, then no one is wealthy.
- "Everyone is doing it" is a signal to overbought conditions and the entrance of "dumb money."